

RecipeApp — Monetization Strategy

Freemium Model: "RecipeApp Pro"

Free Tier (Hook users in)

- **5 recipe scans/week** (fridge + cookbook combined)
- **3 AI Chef messages/day**
- **Unlimited** saved recipes
- **Basic meal planner** (day view only)
- **Cooking mode**
- Social features (messaging, sharing)

Pro Tier — \$4.99/month or \$29.99/year

- **Unlimited** recipe scans
- **Unlimited** AI Chef conversations
- **Full meal planner** (day + week view)
- **AI recipe image generation**
- **Website recipe extraction** (unlimited)
- **No ads**
- Priority support
- 7-day free trial on annual plan

Cost Analysis Per User Action

Feature	What Happens	Cost Per Call
Fridge / Cookbook scan	Vision API (image→recipe)	~\$0.002
AI Chef chat	Text generation	~\$0.001
Recipe from video/website	Text extraction	~\$0.001
AI image generation	Gemini image gen	~\$0.003
Firebase Firestore	Reads / writes	~\$0.0001
Cloud Function (notifs)	Per message	~\$0.0000004

All AI powered by Gemini 2.5 Flash — \$0.15/M input tokens, \$0.60/M output tokens

Monthly Cost Per User (Estimated)

User Type	Usage Pattern	Your Cost
Free user (casual)	5 scans, 10 AI chats, basic	~\$0.03/mo
Free user (active)	5 scans, 20 AI chats	~\$0.05/mo
Pro user (active)	30 scans, 100 AI chats, images	~\$0.40/mo

Pro user (heavy)	60 scans, 200 AI chats, images	~\$0.80/mo
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Revenue vs Cost

Apple Small Business Program: 15% commission

Plan	Price	You Receive	Heaviest User Cost	Profit Margin
Monthly	\$4.99/mo	~\$4.24/mo	\$0.80	81%
Annual	\$29.99/yr	~\$2.12/mo	\$0.80	62%

Why This Model Works

1. **Scans & AI are the highest-value features** — they cost you money (API calls) and users love them. Perfect gate.
2. **Meal planner week view** is a power-user feature — people who plan weekly are committed and will pay.
3. **Social features stay free** — this drives growth (users invite friends to share recipes/plans).
4. **Saved recipes stay free** — don't punish users for building their collection, that creates lock-in.
5. **Free users cost almost nothing** (~\$0.03-0.05/mo) — they're not a burden, they're future paying customers.

Pricing Rationale

- **\$4.99/month** is impulse-buy territory for a cooking app
- **\$29.99/year** (~\$2.50/month) gives a strong incentive to go annual = better retention
- **7-day free trial** on annual plan reduces friction for first-time subscribers

RevenueCat Setup Checklist

- ☐ Create Apple API key in RevenueCat dashboard (starts with `appl_`)
- ☐ Create products in App Store Connect (e.g., `pro_monthly` , `pro_yearly`)
- ☐ Add products to RevenueCat Product Catalog
- ☐ Create Offering with Monthly + Annual packages
- ☐ Create "pro" entitlement in RevenueCat
- ☐ Update `.env` with real API key
- ☐ Implement usage gates in app (scan limits, AI chat limits)
- ☐ Design and build paywall screen